

implementing and maintaining their investment policy so it can roll with life's punches.

The fundamental concepts written in this book provide a blueprint for the design, implementation, and maintenance of a prudent, reliable, lifelong investment plan. In some cases, the plan goes beyond the grave. Read it, study it, create a plan, implement it, and maintain it. You will not be disappointed.

ADVICE FROM EXPERIENCE

There is an old saying that if you really want to get to know people, you should either marry them or manage their money. I have been married to the same wonderful woman for most of my adult life, and I have also had the fortunate experience of getting to know many people over the decades by personally managing their investment portfolios.

As a professional, it has been my job to understand people's personal, financial, and family situation so that I can best advise them on investment decisions. This means asking about personal and some nonfinancial issues that may affect their outlook in the future. It is only with this understanding that my company can help guide an investor toward a prudent asset allocation. This process is by no means static. It is an ongoing challenge.

What I have learned over the years is that every investor has unique issues, and then we all have issues that are very similar. We all have liabilities that need to be paid for in the future, and we want to ensure there is enough money to meet those needs. We are concerned about health care, taxes, educating our children and grandchildren, and then helping them later in life if needed. Most important, we do not want to outlive our own money and become a burden to our families. That is the biggest fear most people have about money.

What differs about how we view money is the amount we each need to cover future liabilities. In other words, we differ in lifestyle. Different careers and opportunities lead us to different standards of living. What may be comfortable for one person may not be good enough for another. Matching current assets and future income streams to those different liabilities is a challenge. This is where reasonable expectations, financial planning, and proper investment policy come in.